

It is an old story. Today, news articles trumpet the stock market as the ideal place to increase assets over the long term. Indeed, the Dow Jones index just now is over 6,000. But, 15 to 20 years ago when it was under 1,000, *Business Week* ran a cover declaring: "Stocks are dead."

(Some investors claim they are able to profit by following the opposite tack from *Business Week's* covers: they sell when the magazine declares something is a good investment, and buy on the something-is-dead covers.)

In all markets, supply and demand are rising and falling constantly, hurtling from one extreme to the other. To an investor with the right ear and eye, fortunes are waiting to be made.

Is it easy? No. Does it take work? Yes.

How, then, can you time when to buy and when to sell? It is difficult. Note, however, that all large bottoms are alike, whether they be in the wheat, stock or property markets, and that the same is true for tops.

*It does not take esoteric knowledge or
an MBA degree or some mystical skill.
Read the newspapers, watch the television
news — and think.*

Pick any previous top or bottom, anywhere, any time, from the beginning of time until now. When you study it, the conviction of certainty of all the participants—at the extreme top and the extreme bottom—will be startling.

As well, watch who is going into, and who is getting out of, a business. At bottoms, many who have been in the business for a long, long time will be leaving in droves or "diversifying".